

24SMCV05094 24SMCV05094

County: los-angeles

Division: Civil Law and Motion

Department: 207

Hearing date: 2026-09-23

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Case Number: 24SMCV05094 Hearing Date: September 23, 2026 Dept: 207

TENTATIVE

RULING NO. 1

DEPARTMENT

207

HEARING DATE

September

23, 2026

CASE NUMBER

24SMCV05094

MOTION

Motion

for Judgment Notwithstanding the Verdict or in the alternative for a New Trial

MOVING PARTIES

Defendant

Henri Levy and Defendant and Cross-Complainant Joseph Levy

OPPOSING PARTIES

(1)

Plaintiff Patrick Bertranou

(2)

Cross-Defendants Kevin Esebag, Renee Esebag, and Good Money LLC

MOTION

On October 16, 2024, Plaintiff Patrick Bertranou ("Plaintiff") filed suit against Defendants Henry Levy aka Henri Levy ("Henri") and Joseph Levy ("Joseph") (together, "Defendants") alleging ten causes of action for (1) breach of implied-in-fact contract; (2) money had and received; (3) money lent; (4) account stated; (5) conversion; (6) fraud-concealment; (7) breach of fiduciary duty; (8) constructive fraud; (9) financial elder abuse; and (10) theft.

On March 6, 2025, Joseph filed a Cross-Complaint against Plaintiff for breach of oral contract. Joseph subsequently named as Cross-Defendants via Amendments Renee Esebag ("Renee"), Kevin Esebag ("Kevin"), and Good Money, LLC ("Good Money"), as Roes 1, 2, and 3 respectively.

The jury rendered a verdict in favor of Plaintiff and against Defendants as to Plaintiff's first cause of action for breach of contract; the fifth cause of action for conversion; the sixth cause of action for fraudulent concealment; and ninth cause of action for financial elder abuse; but found in favor of Defendant Henri Levy as to the tenth cause of action for receiving stolen property.

As for Joseph's cross-complaint, the jury found in favor of Cross-Defendants.

The jury awarded Plaintiff compensatory damages of \$350,000 against both Defendants in connection with the first and fifth causes of action for breach of contract and conversion of the \$350,000; \$10,000 against Defendant Joseph Levy in connection with the fifth cause of action for conversion of the bitcoin wallet; \$350,000 against Defendant Joseph Levy in connection with the sixth cause of action for fraudulent concealment, \$350,000 against Defendant

Joseph Levy in connection with the ninth cause of action for financial elder abuse.

The jury further awarded Plaintiff punitive damages in the amount of \$600,000 against Henri Levy and \$350,000 against Joseph Levy.

Defendant Henri, and Defendant and Cross-Complainant Joseph, now move for Judgment Notwithstanding the Verdict ("JNOV") or in the alternative, for a New Trial.

Plaintiff opposes the motion.

Cross-Defendants Kevin, Renee, and Good Money separately oppose the motion and also file a joinder to Plaintiff's opposition. The Levys reply.

LEGAL STANDARDS

A.

MOTION FOR JUDGMENT NOTWITHSTANDING THE VERDICT

In reviewing a JNOV, the Court determines whether substantial evidence supports the verdict. (Trujillo v.

North County Transit Dist. (1998) 63 Cal.App.4th 280, 284.) "If there is any substantial evidence, or reasonable inferences to be drawn therefrom in support of the verdict, the motion should be denied." (Ibid.) "The purpose of a motion for judgment notwithstanding the verdict is not to afford a review of the jury's deliberation but to prevent a miscarriage of justice in those cases where the verdict rendered is without foundation."
(Ibid.)

In that regard, "a court's power to grant a judgment notwithstanding the verdict is identical to [its] power to grant a directed verdict." (Tun v. Wells Fargo Dealer Services, Inc. (2016) 5 Cal.App.5th 309, 333 [cleaned up].)

"The [court] cannot reweigh the evidence, or judge the credibility of witnesses. A motion for judgment notwithstanding the verdict of a jury may properly be granted only if it appears from the evidence, viewed in the light most favorable to the party securing the verdict, that there is no substantial evidence to support the verdict. If there is any substantial evidence, or reasonable inferences

to be drawn therefrom, in support of the verdict, the motion should be denied.” (Ibid.)

B.

MOTION FOR A NEW TRIAL

The verdict may be vacated and any other decision may be modified or vacated, in whole or in part, and a new or further trial granted on all or part of the issues, on the application of the party aggrieved, for any of the following causes, materially affecting the substantial rights of such party:

1. Irregularity

in the proceedings of the court, jury or adverse party, or any order of the court or abuse of discretion by which either party was prevented from having a fair trial.

2. Misconduct

of the jury; and whenever any one or more of the jurors have been induced to assent to any general or special verdict, or to a finding on any question submitted to them by the court, by a resort to the determination of chance, such misconduct may be proved by the affidavit of any one of the jurors

3. Accident

or surprise, which ordinary prudence could not have guarded against.

4. Newly

discovered evidence, material for the party making the application, which he could not, with reasonable diligence, have discovered and produced at the trial.

5. Excessive

or inadequate damages.

6. Insufficiency

of the evidence to justify the verdict or other decision, or the verdict or other decision is against law.

7. Error

in law, occurring at the trial and excepted to by the party making the application.

(Code

Civ. Proc., § 657.) Code of Civil

Procedure section 658 provides: "When the application is made for a cause mentioned in the first, second, third and fourth subdivisions of Section 657, it must be made upon affidavits; otherwise it must be made on the minutes of the court."

TIMELINESS

Motions for Judgment Notwithstanding

the Verdict ("JNOV") and Motions for New Trials are governed by the same statutory time limits. (See Code Civ.

Proc., § 629, subd. (b) [JNOV]; § 659 [new trial].)

The notice of motion must be filed

and served within 15 days of the clerk's notice of entry of judgment. (Code Civ. Proc., § 659, subd. (a)(2).) Here, no judgment has yet been entered. As such, the August 5, 2026 Notice of Intent is timely.

Ten (10) days after filing the

Notice of Intent, the moving parties must file and serve the motion and supporting papers. (Code Civ. Proc., §

659a.) Ten days after August 5 is

Saturday, August 15. By operation of Code of Civil Procedure 12 & 12a, which expressly applies to Motions for New Trials (and Motions for Judgment Notwithstanding the Verdict), that deadline is extended to Monday, August 17.

The Levys timely filed and

electronically served their Memorandum of Points and Authorities in support of the motion on August 14, 2026.

The opposing parties have ten (10)

days after service of the moving papers to file oppositions. Ten days after August 14, 2026 is Monday, August 24, 2026.

On August 25, 2026, the Levys filed

a Notice of Non-Receipt of Opposition to their Motion for Judgment Notwithstanding the Verdict, or in the alternative, for a New Trial.

Cross-Defendants Renee and Good

Money filed an opposition and joinder to Plaintiff's opposition on August 26, 2026. Plaintiff filed a separate opposition later that day on August 26, 2026.

Cross-Defendants do not address the timeliness of their filing, but Plaintiff argues the filing is timely, by operation of Code of Civil Procedure section 1010.6, which adds two court days to any deadline when service is electronic.

Because Cross-Defendants join in Plaintiff's opposition, the Court considers the argument vis-à-vis Cross-Defendants' filing as well.

The Court notes that while Code of Civil Procedure sections 1013 and 1010.6 do not apply to extend the time within which the moving party may file a Notice of Intent to Move for New Trial (see Code Civ. Proc., § 659, subd. (b); § 1013, subd. (a), (c), (e); § 1010.6, subd. (a)(3)(B)), it is not immediately clear to the Court that they do not apply to extend the time within which the opposing party may file an opposition to the motion.

Notably, the notice of intent must be filed within fifteen days after service by the clerk of the notice of entry of judgment, and that time is not extended by operation of sections 1013 or 1010.6, but the opposition to the motion must be filed within only ten days after service by the moving party of the motion and supporting papers.

Thus, it appears as though the five additional days for service by mail are incorporated into the moving party's fifteen-day deadline, but not the opposing party's deadline.

Even further, the Court is generally within its discretion to extend the opposition deadline by up to 10 days, and the Court does not generally lose jurisdiction to consider late-filed affidavits filed within that timeframe. (See *Kabran v. Sharp Memorial Hospital* (2017) 2 Cal.5th 330, 347.)

In reply, the Levys argue that strict compliance with the 10-day deadline is jurisdictional, but the case law cited does not support that proposition. *Erikson v. Weiner* (1996)

48 Cal.App.4th 1663 involved papers that were filed outside of the 10-day extensions the Court is within its discretion to grant. And as referenced above, *Kabran* held the converse of the proposition for which it is being cited – that the Court does not automatically lose jurisdiction to consider late-filed affidavits.

Therefore, the Court exercises its discretion and considers the merits of the Oppositions.

ANALYSIS

The Levys move for a judgment notwithstanding the verdict or in the alternative for a new trial regarding the following three issues:

(1)

The punitive damages award is excessive

(2)

There was insufficient evidence to prove financial elder abuse, fraudulent concealment, or conversion of the \$350,000

(3)

The Court erred in allowing Exhibit 21-7 into evidence as an adoptive admission

I.

PUNITIVE DAMAGES

A. Joseph

Levy

The Levys first argue that the punitive damages award against Joseph Levy is constitutionally excessive because the punitive damages award of \$350,000 against Joseph Levy exceeds his \$5,000 net worth by a factor of 70.

“[T]he purpose of punitive damages is not served by financially destroying a defendant. The purpose is to deter, not to destroy.” (Adams v. Murakami (1991) 54 Cal.3d 105, 112 (hereafter Adams).) “[A] punitive damages award is excessive if it is disproportionate to the defendant’s ability to pay.” (Ibid., citations omitted.) For this reason, the United States Supreme Court has explained that there are constitutional limitations on punitive damages awards. (State Farm Mut. Auto. Ins. Co. v. Campbell (2003) 538 U.S. 408, 416.) “It has been recognized that punitive damages awards generally are not permitted to exceed 10 percent of the defendant’s net worth.”

(Weeks v. Baker & McKenzie (1998) 63 Cal.App.4th 1128, 1166.)

The parties first dispute

whether it is proper for the Court to reduce the punitive damages award on a

JNOV. In support of the position that it

can, the Levys cite to ENA North Beach, Inc. v. 524 Union Street (2019)

43 Cal.App.5th 195, 213 (hereafter ENA).

In support of the position that it cannot, and that the Levys must instead

move for remittitur, Plaintiff cites to Teitel v. First Los Angeles Bank (1991)

231 Cal.App.3d 1593, 1605 (hereafter Teitel).

Teitel held “[w]ere we to accept Bank’s position

that the trial judge is empowered to select an appropriate level of punitive

damages and compel its determination by a judgment notwithstanding the verdict,

we would find little or no purpose for the remittitur statute. We do not believe the Legislature intended

such a result. Rather, the legislative

system as enacted makes it plain that damages, except those which may be

determined as a matter of law, are to be fixed by the trier of fact and, if

erroneous in amount, subject to the reduction or new trial procedure specified

in Code of Civil Procedure section 662.5, subdivision (b).” (Teitel, supra, 231 Cal.App.3d

at p. 1605.)

ENA analyzed Gober v. Ralph’s Grocery Co. (2006)

137 Cal.App.4th 204, 211, 214, which “held that an appellate court can

determine the constitutional maximum for a punitive damages award on appeal

from the denial of a JNOV because the constitutional maximum is a legal

question.” (ENA, supra, 43

Cal.App.5th at p. 212 [citing Gober].)

Distinguishing Gober, the ENA court explained, “But that

does not appear to be what happened here.

The trial court did not indicate that the reduced amount of punitive

damages it ordered was the constitutional maximum; to the contrary, it stated,

‘Given the above reduction, the ratios of punitive to compensatory damage are

well within due process limits.’” (ENA,

supra, 43 Cal.App.5th at p. 212.)

Thus, taken together, the

cases indicate that it is proper for the Court, on a JNOV, to reduce the

punitive damages award down to the constitutional maximum, which is a legal

question, but not to otherwise impose its discretion on the amount of the

punitive damages award, which is for the remittitur process.

As for whether the amount of punitive damages awarded is in excess of the Constitutional maximum, Joseph argues that he testified at trial that his net worth was only \$5,000. In support, Joseph cites to "Trial Transcript 7/9/26 at 44:11-12."

Plaintiff argues in opposition that despite Joseph's testimony that his net worth was only \$5,000, the jury also considered evidence at trial that Joseph Levy's reported adjusted gross income on his 2024 tax returns was \$763,153, including a net income of \$571,739 from Maskbox, \$88,141 from J.J.S. Entertainment, LLC, and \$172,192 in passive income from West Coast Blends.

In support, Plaintiff cites to "7/9/26 Trial Tr. at 40:14-42:14, 42:25-43:6" and Trial Ex. 41.) Further, Plaintiff argues the jury saw that Joseph Levy drove a Lamborghini, expected to get paid \$200,000 in fees for a transaction that took only minutes of his time, he had the resources to engage counsel and litigate this matter through a full jury trial, and works for his father's company making a six-figure salary. In support, Plaintiff cites to "6/30/26 Trial Tr. 98:1-13; 108:2-28; 124:1-125:10; 7/9/26 Trial Tr. At 40:14-42:14, 42:25-43:6; 48:12-18" and Ex. 4-169-171 and Ex. 8-007-009. Thus, Plaintiff argues, it was well within the jury's discretion to discredit Joseph's testimony that his net worth was only \$5,000.

However, no party lodged a copy of the trial transcript with the Court or attached any excerpts of the trial transcript to their moving or opposition papers.

As such, because Joseph relies entirely upon specific trial testimony that he has not provided to the Court, Joseph has not met his burden as the moving party to provide the Court with sufficient evidence for it evaluate his argument or to determine that the punitive damages award was constitutionally excessive as a matter of law.

B. Henri
Levy

Henri argues that the punitive damages award against him was

unsupported by the evidence.

"In determining whether a punitive damage award is excessive under California law, a court must consider (1) the reprehensibility of the defendant's conduct; (2) the amount of compensatory damages or actual harm suffered by the plaintiff; and (3) the defendant's financial condition. (Corenbaum v. Lampkin (2013) 215 Cal.App.4th 1308, 1337 (hereafter Corenbaum).)

Henri argues that the evidence did not support a finding that his conduct was reprehensible.

In general, "the more reprehensible the act, the greater the appropriate punishment, assuming all other factors are equal." (Neal v. Farmers Ins. Exchange (1978) 21 Cal.3d 910, 928.) Notwithstanding, "The determination of whether an award is excessive is admittedly more art than science." (Adams, supra, 54 Cal.3d at p. 112.)

In State Farm Mut. Auto. Ins. Co. v. Campbell (2003) 538 U.S. 408, 419 (hereafter State Farm), the United States Supreme Court analyzed the following factors in determining the reprehensibility of the conduct: (1) whether the harm was physical or economic; (2) whether the defendant disregarded health or safety; (3) whether the victim was financially vulnerable; (4) whether the conduct involved repeated actions or was an isolated incident; and (5) whether the harm resulted from intentional malice, trickery, or deceit rather than mere accident.

Henri argues that the harm was purely economic and had no impact on Plaintiff's health and safety. Further, Henri points out that the jury expressly found lack of proof that Henri had knowledge that the \$350,000 he received was either stolen or sent to him through extortion. (Verdict Question 36.)

Henri also argues that the evidence introduced at trial demonstrated that Bertranou was not financially vulnerable, because he testified he had the ability to and did purchase \$1.5 million in cryptocurrency for his girlfriend (citing 6/30/26 Trial Transcript at 83:12-25), that he lives in a large Beverly Hills mansion that was the subject of an architectural magazine photoshoot

(citing 7/2/26 Trial Transcript at 141:8-13, 154:19-155:5 and Trial Exhibit 303), and that he quickly came up with the collateral to borrow \$350,000 (citing 7/1/26 Trial Transcript at 174:18-23.)

Henri further argues that there is no evidence demonstrating that this was anything other than an isolated incident.

Further, Henri argues that the evidence demonstrates there was no malice, trickery or deceit on Henri's part because Henri believed he was supposed to give the \$350,000 to Tyler Wassman.

In support, Henri cites to "7/6/26 Trial Transcript 154:24-155:6; Exs. 4-225, 209-7 & 216-4.")

State Farm also noted that "few awards exceeding a single-digit ratio between punitive and compensatory damages, to a significant degree, will satisfy due process." (State Farm, *supra*, 538 U.S. at p. 425.) Specifically ratios of 4-to-1, 3-to-1, or 2-to-1 are more likely to comport with due process. (*Ibid.*)

Where the degree of reprehensibility is low, a ratio of one-to-one is the constitutional limit. (*Roby v. McKesson Corp.* (2009) 47 Cal.4th 686, 719.) Thus, Henri argues, the punitive damages award of \$600,000, representing a ratio of 1.7-to-1 is constitutionally excessive.

However, as discussed above, no party has lodged copies or filed excerpts of the trial transcript with the Court. Therefore, the only evidence in the record are the trial exhibits.

Trial Exhibit 303 is a photograph of the front of a house, most of which is obscured by a large gate. That alone is insufficient to demonstrate Plaintiff's financial vulnerability.

Trial Exhibit 4-225 is a text message thread between Joseph Levy and Tyler Wassmann from September 19, 2024 in which Wassmann tells Joseph, "Supposedly Patrick spoke to you, spoke to the thieves. They are returning the crypto tmw. But he's also sending you a wire for 350k that should be sent to Me. I told him just send me my fucking crypto back. And he was like they will send you 1M crypto next week but 350k wire tmw."

Trial Exhibit 209-7 is a text message thread between Joseph Levy and Patrick Betranou in which Patrick says:

Joseph, when these guys came to see me they told me they needed you (not me) to pay a "good faith deposit" of \$350,000 to be sent to Tyler. I immediately sent a wire to your father and they left you alone and returned your car.

I was good to my word that I would not let you down or be harmed and glad that nothing happened to you.

Now it's time to finish this story and I would appreciate you returning to me by wire transfer the \$350,000 I sent you to protect you. I also would like to recover my wallet with about \$10 k of bitcoin I gave you.

Trial Exhibit 216-4 is a text message thread between Renee Esebag and Tyler Wassermann in which Tyler states, "I spoke to Patrick today, he said a wire of 350k will be sent tmw. Which is cool to start. But if they're willing to just return the coins obviously that's the best for everyone so he's not coming out of pocket." To which Renee responds:

They were trying to get Patrick to download an app but Patrick told him no, they need to send it to his wallet address and he's not going to accept from an app.

Thank you.
Yes, we're trying to get them and hope but if not he will send the 350k
I'm good faith [praying hands emoji]

In opposition, Plaintiff argues the jury heard evidence that Henri "steadfastly refused" to return Plaintiff's \$350,000, despite having no justifiable claim over it because Henri had the written agreement between Joseph and Good Money, which did not entitle Joseph to any further payment. In support, Plaintiff cites to Trial Exhibit 1-004, demonstrating the agreement was emailed to Henri. Yet, Plaintiff argues, Henri kept the \$350,000 for himself.

Plaintiff also argues that there was trial testimony indicating Joseph implored Henri to return Plaintiff's money on multiple occasions, that Renee Esebag also intervened in an effort to recover the money, and Henri refused to even return the \$160,000 over and above what Defendants claimed Joseph was entitled to in this lawsuit. However, as discussed above, neither Plaintiff nor Defendant have provided the Court with any trial transcript.

Thus, Plaintiff argues, the jury had sufficient evidence from which it could conclude that Henri acted reprehensibly in refusing to return the money.

Notwithstanding the lack of transcript evidence, the Court finds Exhibit 1-004 sufficient to give the jury an adequate evidentiary basis to conclude that Henri acted intentionally and reprehensibly in refusing to return part or all of the money to Plaintiff.

As such, the Court cannot say on the record before it that a ratio of 1.7-to-1 is constitutionally excessive as a matter of law or that it was unsupported by the factual record.

II.

FINANCIAL ELDER ABUSE, FRAUDULENT CONCEALMENT,
and CONVERSION OF THE \$350,000 CLAIMS

The Levys argue there was insufficient evidence to support the jury's verdict on the financial elder abuse, fraudulent concealment, and conversion of the \$350,000 claims.

A. Financial Elder Abuse

Joseph argues that the evidence at trial demonstrated that the \$350,000 went to Henri, not Joseph, and as such there was no "taking."

Joseph further argues that even if there was a "taking" it was not "wrongful" because he did not solicit the \$350,000 from Plaintiff. Rather, he first learned the \$350,000 was going to be sent to him from Renee Esebag and Tyler Wassman. Moreover, Joseph argues Plaintiff confirmed in writing that Joseph was supposed to give the money to Tyler Wassmann. In support, Joseph cites Trial Exhibits 4-225, 209-7, and 216-4, discussed above.

These exhibits do generally support the narrative that Joseph first

learned the \$350,000 was going to be sent from Tyler Wassman and/or Renee Esebag.

Further, Joseph argues that at all times Joseph believed Plaintiff agreed to repay the \$1,500,000 and that \$1,500,000 was owed. In support of this proposition, Joseph cites to 6/30/26 Trial Transcript at 99:13-24, which was not provided to the Court. As such, Joseph has not provided the Court with any evidence that Joseph believed Plaintiff agreed to repay the \$1,500,000 or otherwise owed \$1,500,000.

Joseph further argues that he spoke with Henri in an attempt to assist in getting the money returned. In support, he cites to Trial Exhibit 21-008-10, a text message thread between Renee Esebag and Joseph Levy in which Renee says, "Tyler changed his phone number what's his first and last name so we can get the wallet back" to which Joseph responds, "Tyler Nguyen I thought but online I saw "Tyler Wassmann[.]" That trial exhibit does not support the narrative that Joseph spoke with Henri in an attempt to assist in getting the money returned.

As for the "taking" argument, Plaintiff argues that there was ample evidence that Henri received the money as Joseph's agent, because how else could Plaintiff have gotten Henri's account details, and the money was clearly being sent for Joseph's benefit.

As for the "wrongful" argument, Plaintiff points to Trial Exhibit 4 – text messages between Joseph and Tyler Wassmann in which Joseph told Wassmann to keep up the pretense that his life was in danger and then went on a days-long campaign to extract as much money as he could from Plaintiff under those false pretenses.

Thus, Joseph has not generally met his burden as the moving party to demonstrate that the evidence at trial did not support the jury's verdict vis-à-vis the financial elder abuse claim, which is generally supported by Trial Exhibits 4 and 209-7.

B. Fraudulent Concealment

"The required elements for fraudulent concealment are (1) concealment or suppression of a material fact; (2) by a defendant with a duty to disclose

the fact; (3) the defendant intended to defraud the plaintiff by intentionally concealing or suppressing the fact; (4) the plaintiff was unaware of the fact and would have acted differently if the concealed or suppressed fact was known; and (5) plaintiff sustained damage as a result of the concealment or suppression of the material fact.” (Rattagan v. Uber Technologies, Inc. (2024) 17 Cal.5th 1, 40 (hereafter Rattagan).)

“A duty to disclose a material fact can arise if (1) it is imposed by statute; (2) the defendant is acting as plaintiff’s fiduciary or is in some other confidential relationship with plaintiff that imposes a disclosure duty under the circumstances; (3) the material facts are known or accessible only to defendant, and defendant knows those facts are not known or reasonably discoverable by plaintiff (i.e., exclusive knowledge); (4) the defendant makes representations but fails to disclose other facts that materially qualify the facts disclosed or render the disclosure misleading (i.e., partial concealment); or (5) defendant actively conceals discovery of material fact from plaintiff (i.e., active concealment).” (Rattagan , supra, 17 Cal.5th at p. 40.)

Joseph argues there was insufficient evidence to support the jury’s verdict on fraudulent concealment because Plaintiff pleaded Joseph was to hold the \$350,000 in escrow (Complaint at ¶ 44) and escrow holders owe no fiduciary duty to go beyond the escrow instructions to notify the parties of suspicious facts or circumstances unrelated to the specific escrow instructions. (Lee v. Title Ins. & Trust Co. (1968) 264 Cal.App.2d 160, 162.)

The Court notes, however, that this is not a case involving a neutral third-party escrow holder. Rather, there is evidence (see Trial Exhibit 4) that Joseph colluded with Tyler Wasserman to concoct and/or keep up the false narrative that Joseph’s life was in danger in order to continue to extract money out of Plaintiff over “stolen” cryptocurrency that was actually worthless with no intention of ever returning the \$350,000.

Therefore, the Court finds that the evidence supports the jury’s verdict on fraudulent concealment.

C. Conversion
of \$350,000

Joseph argues the evidence at trial was insufficient to establish

Joseph had possession, dominion, or control over the \$350,000 because when Renee Esebag demanded the return of the money, Joseph told her she needed to speak with Henri, because he had the money.
(Trial Ex. 21-009.)

As discussed above, there is ample evidence from which the jury could conclude that Henri accepted the money as Joseph's agent for Joseph's benefit and that Joseph colluded with Tyler Wasserman to extract sums from Plaintiff under the ruse that Joseph's life was in danger.

The fact that Joseph told Renee to go talk to Henri when asked to return the money could therefore demonstrate that Joseph was being obstructionist, rather than evidence that Joseph truly had no possession, dominion, or control over the money.

III.

ALLOWING EXHIBIT 21-007 INTO EVIDENCE AS AN
ADOPTIVE ADMISSION

The Levys argue that the Court erred in allowing Exhibit 21-007 into evidence as an adoptive admission.

In support, the Leys cite to *People v. McDaniel* (2019) 38 Cal.App.5th 986 (hereafter *McDaniel*), which explains the "adoptive admission" exception to the hearsay rule as follows:

Accusatory statements ... are plain hearsay. They may properly find their way into the record only as admissions, under the familiar exception to the hearsay rule. If the accused responds to the statement with a flat denial, there is no admission and hence nothing that may be received in evidence. If, on the contrary, the truth of the statement is admitted, the statement may properly be introduced. A third situation is presented when the accused stands mute in the face of the accusation or responds with an evasive or equivocal reply. In that situation this court has held that under certain circumstances both the statement and the fact of the accused's failure to deny are admissible on a criminal trial as evidence of the acquiescence of the accused in the truth of the statement or as indicative of a consciousness of guilt.

The theory underlying this rule is that the

natural reaction of an innocent man to an untrue accusation is to enter a prompt denial. Where his response is silence, evasion, or equivocation, it is for the trial court to determine in the first instance whether the accusation has been made under circumstances calling for a reply, whether the accused understood the statement, and whether his conduct or response was such as to give rise to an inference of acquiescence or guilty consciousness. Where the trial judge determines that such an inference may be drawn, the statement is then admitted, not as substantive evidence in proof of the fact asserted but merely as a basis for showing the reaction of the accused to it.

(McDaniel,
supra, 38 Cal.App.5th at p. 998, emphasis in original.)

In McDaniel, the criminal defendant, accused of various robberies, had a text message exchange with his mother, who sent him the text message, “An that is why u will b locked up 4 robbery of the stores in this area[.]”

The trial court had admitted the text message exchange as an adoptive admission because the defendant did not respond to his mother’s accusation that he committed the robberies. But the appellate court reversed, explaining that in the context of text messages:

However, given the nature of text messaging, the fact that McDaniel did not text his mother back was not sufficient to show that he had adopted his mother’s statement. Text messaging is different from in person and phone conversations in that text exchanges are not always instantaneous and do not necessarily occur in “real time.” Rather, text messages may not be read immediately upon receipt and the recipient may not timely respond to a text message for any number of reasons, such as distraction, interruption, or the press of business. Furthermore, people exchanging text messages can typically switch, relatively quickly and seamlessly, to other forms of communication, such as a phone call, social-media messaging, or an in-person discussion, depending on the circumstances. In short, in light of the distinctive nature of text messaging, the receipt of a text message does not automatically signify prompt knowledge of its contents by the recipient, and furthermore, the lack of a text response by the recipient does not preclude the possibility that the recipient responded by other means, such as a phone call.

(McDaniel,

supra, 38 Cal.App.5th at p. 999.) Here,

Exhibit 21-007 is the following text message from Renee Esebag to Joseph:

Hi Joseph,

I'm reaching out to you again. I need to resolve this situation please today.

As you know we all acted in good faith and we had no clue that this situation was going to happen.

You are like family to us.

Patrick needs his wire returned today.

Our deal was for you to keep the 10k check you cashed, return the crypto wallet and return the 350k to Patrick after Tyler received back his 1.5 in crypto.

The deal on both ends went sour and we did not want anyone to get threatened by your friends so Patrick sent in good faith the 350k.

I'm trying to resolve this please amicably.

You were sapose (sic) to get the 190k if the investor sent us the wire but turned out to be a thief an so did your crypto guy.

We are all honest people and I want to make good on this as this has been so stressful to everyone.

I cannot fix this now and only you can talk to your dad to tell him the truth of our deal and have him return Patrick's money of the 350k today.

Please call me to discuss.

(Trial
Exhibit 21-007.)

The next text message from Esebag to Joseph is sent over two hours later at 2:34 p.m., discussing a new but related topic (inquiring about Tyler's full first and last name so they can pursue getting the crypto wallet back), and Joseph substantively responds to that message fifteen minutes later at 2:49 p.m. by telling her, "Tyler Nguyen I thought but online I saw "Tyler Wassmann[.]" (Trial Exhibit 21-008.)

Thus, the Levys argue that Joseph could have called Esebag, as she requested, and responded to the accusation via phone call.

However, Esebag responds seven minutes later with, "OK. Thx. This is just all so crazy . Please call me later we have to finish up on this situation[.]" (Trial Exhibit 21-008.) Joseph responds to that message a minute later with, "I can call you but there's nothing I can do with Henri. Maybe you can speak to him. He's furious I was even in the whole situation[.]" (Trial Exhibit 21-009.)

Thus, the context of the text message thread itself indicates that Joseph did not call Renee in the ensuing two hours, because Renee was still imploring Joseph to call her, and Joseph responded at 2:57 p.m. with "I can call you but there's nothing I can do with Henri" which also indicates Joseph had not yet called her or otherwise addressed her request.

Further, as Plaintiff points out in opposition, the Court instructed the jury not to consider the statements for their truth.[1]

Therefore, the Court did not err in admitting Exhibit 21-007.

CONCLUSION AND ORDER

For the foregoing reasons, the Court denies Moving Defendants Joseph Levy's and Henri Levy's Motion for Judgment Notwithstanding the Verdict or in the alternative New Trial.

Moving Defendants shall provide
notice of the Court's ruling and file the notice with proof of service
forthwith.

The Court will enter the proposed
judgment in accordance with this ruling and the Court's concurrent ruling on
Plaintiff's request for prejudgment interest.

DATED: September 23, 2026 _____/s/_____

Michael
E. Whitaker

Judge
of the Superior Court

[1]

Plaintiff also argues that Esebag testified at trial that Joseph never disputed
her text message or her representation of the Good Money deal terms, but as
discussed above, Plaintiff has not provided the Court with the relevant portion
of the trial transcript.

TENTATIVE
RULING NO. 2

DEPARTMENT

207

HEARING DATE

September
23, 2026

CASE NUMBER

24SMCV05094

MOTION

Prejudgment

Interest

MOVING PARTY

Plaintiff

Patrick Bertranou

OPPOSING PARTIES

Defendants

Henri Levy and Joseph Levy

BACKGROUND

On October 16, 2024, Plaintiff Patrick Bertranou ("Plaintiff") filed suit against Defendants Henry Levy aka Henri Levy and Joseph Levy ("Defendants") alleging ten causes of action for (1) breach of implied-in-fact contract; (2) money had and received; (3) money lent; (4) account stated; (5) conversion; (6) fraud-concealment; (7) breach of fiduciary duty; (8) constructive fraud; (9) financial elder abuse; and (10) theft.

On March 6, 2025, Joseph filed a Cross-Complaint against Plaintiff for breach of oral contract. Joseph subsequently named as Cross-Defendants via Amendments Renee Esebag ("Renee"), Kevin Esebag ("Kevin"), and Good Money, LLC ("Good Money"), as Roes 1, 2, and 3 respectively.

The jury rendered a verdict in favor of Plaintiff and against Defendants as to Plaintiff's first cause of action for breach of contract; the fifth cause of action for conversion; the sixth cause of action for fraudulent concealment; and ninth cause of action for financial elder abuse; but found in favor of Defendant Henri Levy as to the tenth cause of action for receiving stolen property.

As for Joseph's cross-complaint, the jury found in favor of Cross-Defendants.

The jury awarded Plaintiff compensatory damages of \$350,000 against

both Defendants in connection with the first and fifth causes of action for breach of contract and conversion of the \$350,000; \$10,000 against Defendant Joseph Levy in connection with the fifth cause of action for conversion of the bitcoin wallet; \$350,000 against Defendant Joseph Levy in connection with the sixth cause of action for fraudulent concealment, \$350,000 against Defendant Joseph Levy in connection with the ninth cause of action for financial elder abuse.

The jury further awarded Plaintiff punitive damages in the amount of \$600,000 against Henri Levy and \$350,000 against Joseph Levy.

Plaintiff now moves for prejudgment interest against Joseph Levy as to the \$360,000 converted funds and against Henri Levy as to the \$350,000 converted funds. The Levys oppose the motion and Plaintiff replies.

ANALYSIS

“A person who is entitled to recover damages certain, or capable of being made certain by calculation, and the right to recover which is vested in the person upon a particular day, is entitled also to recover interest thereon from that day, except when the debtor is prevented by law, or by the act of the creditor from paying the debt.” (Civ. Code, § 3287, subd. (a).)

The interest rate for a breach of contract action accrues at 10 percent per annum. (Civ. Code, § 3289, subd. (b).) The interest rate for tort claims is 7 percent per annum. (Civ. Code, § 3287, subd. (c).)

The jury's verdict indicates that Joseph defrauded Plaintiff into transferring \$350,000 to a bank account held by his father, Henri, on September 20, 2024. On or about September 24, 2024, Henri converted these funds by ignoring requests to return the money to Plaintiff.

Further, on or about September 18, 2024, Joseph converted Bitcoins belonging to Plaintiff worth \$9,171.52 by transferring them to Tyler Wasserman instead of returning them to Plaintiff.

These findings resulted a compensatory damages award of \$360,000

against Joseph, of which Henri was jointly and severally liable for \$350,000.

Thus, as to Plaintiff's breach of contract claim against Joseph, Plaintiff seeks interest at the annual rate of 10% on the \$350,000 damages resulting from the breach, for the 706 days between the September 21, 2024 breach and the August 28, 2026 filing date of the motion in the amount of \$67,698.34.

As to Plaintiff's conversion claim against Joseph, Plaintiff seeks interest at the annual rate of 7% of the \$9,171.52 converted for the 709 days between the September 18, 2024 conversion and the August 28, 2026 filing date of the motion, in the amount of \$1,247.84.

As to Plaintiff's conversion claim against Henri, Plaintiff seeks interest at the annual rate of 7% of the \$350,000 converted for the 703 days between the September 24, 2024 conversion and the August 28, 2026 filing date of the motion in the amount of \$47,185.36.

In opposition, the Levys argue the \$9,171.52 converted value of the bitcoin wallet is not "readily ascertainable" because it differs from the \$10,000 jury verdict for the "approximate" amount.

The Court disagrees. A bitcoin wallet's value constantly changes up and down as the value of bitcoin does. That does not mean the amount is not readily ascertainable. To the contrary, the value of the bitcoins is easily calculable at any given point in time and its value is indeed approximately \$10,000, as alleged in the Complaint.

Further, as Plaintiff points out in reply, the \$9,171 figure is from a text message Joseph Levy sent Tyler Wasserman the moment he accessed the bitcoin wallet and three minutes before he sent the bitcoins to Tyler Wassermann. (Trial Exhibit 4-177.) Thus, the value of the converted bitcoins was known to and memorialized by Joseph at the moment of conversion. As such, there is no doubt that the value of the converted bitcoin wallet was readily ascertainable to Joseph at the moment of conversion.

The Levys also argue that "as a matter of law, tort interest must be presented to the jury and must be awarded by its verdict." In support, the Levys cite to Civil Code section 3288, which provides, "In an action for the breach of an obligation not arising from contract, and in every case of oppression, fraud, or malice, interest may be given, in the discretion of the jury."

But as Plaintiff points out in reply, Plaintiff seeks prejudgment interest on a readily ascertainable sum from a date certain, capable of calculation, pursuant to Civil Code section 3287, not a matter for which a jury is needed to exercise discretion pursuant to Civil Code section 3288.

The Levys also argue that the amount was not readily identifiable or ascertainable because the case required a “careful and painstaking” fact finding of the dates of the demands.

Notwithstanding, the date was ultimately ascertained and made the prejudgment interest capable of calculation.

As to the breach of contract claim, Joseph argues that Bertranou’s damages were not calculable or reasonably certain until the verdict. The Court disagrees. Bertranou transferred \$350,000, the Complaint alleged \$350,000, and the jury ultimately awarded \$350,000. As Joseph’s own authority indicates, uncertainty about liability does not make the amount of damage incapable of calculation.

Finally, the Levys argue that awarding prejudgment interest against both defendants would be an impermissible double recovery. On this point, the Court agrees. As such, the Court orders Plaintiff to prepare a proposed Judgment that precludes double recovery, making the 7% interest on the \$350,000 damages award joint and several.

CONCLUSION AND ORDER

The Court grants Plaintiff’s request for prejudgment interest against Joseph Levy in the amount of \$68,946.18^[1], of which Henri Levy is jointly and severally liable for \$47,185.36. The Court will enter these amounts on the proposed judgment accordingly.

Plaintiff shall provide notice of the Court’s ruling and file the notice with a proof of service forthwith.

DATED: September 23, 2026 _____/s/_____

Michael
E. Whitaker

Judge
of the Superior Court

[1]

\$67,698.34 + \$1,247.84 = \$68,946.18.